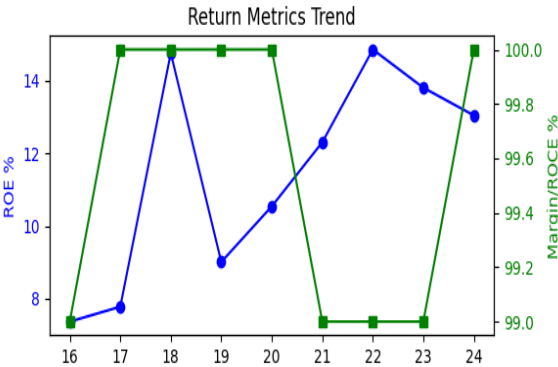
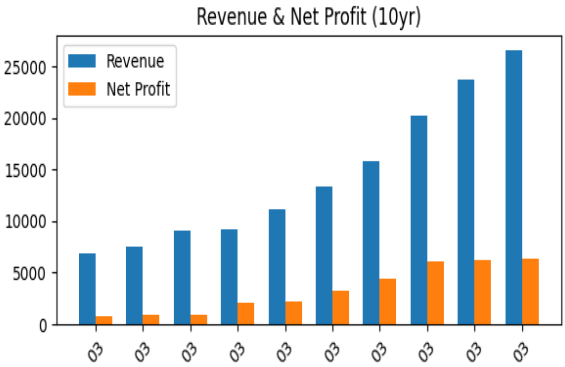
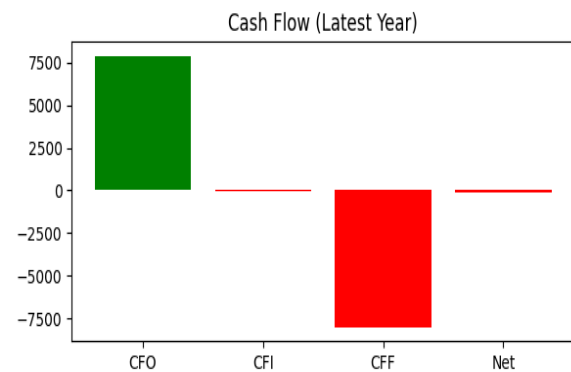
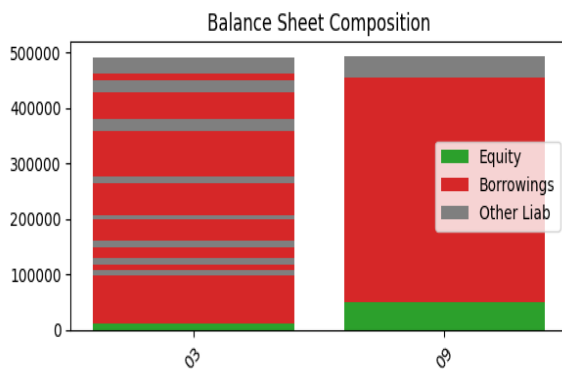


# Indian Railway Finance Corporation Ltd (IRFC)

|                |       |            |       |
|----------------|-------|------------|-------|
| ROE %          | 13.0% | D/E Ratio  | 8.38  |
| Net Profit Mgn | 24.1% | FCF (Cr)   | 7906  |
| Asset Turnover | 0.05  | Div Payout | 31.0% |



# Indian Railway Finance Corporation Ltd - Financial Health & Profile



**Capital Allocation Pattern:** Reinvestor

## **Pros:**

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

## **Cons:**

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility